Unit 5 - Revenue Analysis and Pricing Policies

- Introduction to Revenue Analysis and Pricing Policies
  - Importance of revenue and cost concepts for managerial economists, highlighting revenue as the income from sales dependent on market price.
- Revenue: Meaning and Types
  - Definition of Revenue
    - Revenue represents the total income from sales, categorized into total revenue (TR), average revenue (AR), and marginal revenue (MR).
  - Total Revenue (TR)
    - Total revenue is the total money received from sales, calculated as TR = Price (P) x Quantity (Q).
    - Example: Selling 5000 units at Rs. 5 each leads to TR = 25,000.
  - Average Revenue (AR)
    - Average revenue is the revenue per unit sold, expressed as AR = TR/Q.
    - AR equates to price, with demand curve reflecting average revenue.
  - Marginal Revenue (MR)
    - Marginal revenue is the additional revenue earned by selling one more unit, showing the relationship between TR and price changes.
    - Example illustrating MR calculation when price decreases for previous units sold.
  - Relationship Between TR, AR, and MR
    - Discussion of how MR declines with increased output and its relationship with TR and AR under different market conditions.
- Relationship Between Revenues and Price Elasticity of Demand
  - Definition of Price Elasticity
    - Elasticity relates to how quantity demanded responds to price changes, impacting TR, AR, and MR.
  - Analysis Using Elasticity
    - Formula linking elasticity with AR and MR, demonstrating changes based on price elasticity coefficient.
  - Kinked Demand Curve
    - Explanation of how a kinked demand curve affects MR and AR, particularly in oligopolistic markets.
- Pricing Policies
  - Definition of Pricing Policy
    - Pricing policy involves setting product prices based on internal and external factors.
  - External Factors Influencing Pricing
    - Demand and supply dynamics, market size, consumer behavior, government regulations, and competitor prices.
  - Internal Factors Influencing Pricing
    - Firm objectives, production costs, product quality, and advertising strategies.
- Objectives of Pricing Policies
  - Key Pricing Objectives
    - Profit maximization in the short and long term, price stabilization, competitive positioning, market share maintenance, and ethical pricing considerations.
- Pricing Methods
  - Overview of Common Pricing Methods
    - Cost-based pricing methods (cost-plus, markup), demand-based pricing, competition-based pricing, and value pricing.
    - Specific methodologies explained, including rate of return pricing and administered pricing.
- Summary of Key Concepts
  - Recap of revenue types, elasticity relationships, and the significance of pricing policies in strategic decision-making.